

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-28

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$306.26 · -9.2% upside

Price \$337.39

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$306.26 (-9.2% vs \$337.39); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$306.26	45%
FSA	Strong	Health +0.40	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +95%	15%
Composite	HOLD	Score +0.05 · 75% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

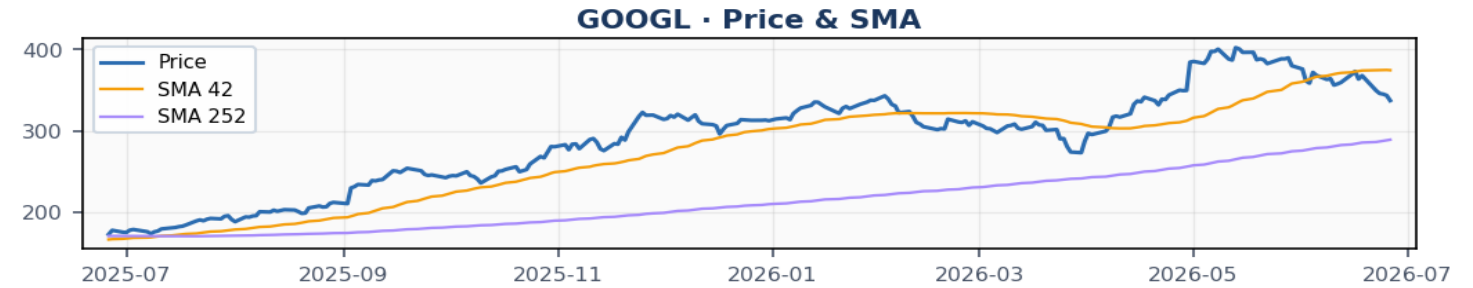
INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$306.26. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.12T	Shares Out.	5867.2M
52-Week Range	\$172.77 – \$408.61	P/E (TTM)	25.7x
P/B	8.5x	Beta	1.24
Avg Volume	31.76M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$422.50B	Rev Growth	+21.8%
Op. Margin	36.1%	FCF (TTM)	\$73.27B
Gross Margin	60.4%	ROE	38.9%
EV/EBITDA	25.1x	Debt/Equity	20.0%

PRICE TREND · SMA 42 / 252 (252D)



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	490,654	569,208	637,268
Revenue Growth (%)	N/A	15.1%	21.8%	16.0%	12.0%
Net Income (\$M)	100,118	132,170	160,983	186,756	209,087
Net Income Growth (%)	N/A	32.0%	21.8%	16.0%	12.0%
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%

ROE (%)	30.8%	31.8%	38.8%	40.8%	43.5%
EPS (\$)	17.06	22.53	27.44	31.83	35.64
Book Value / Share (\$)	55.41	70.78	70.78	78.03	81.93
P/E (x)	19.77	14.98	12.30	10.60	9.47
P/B (x)	6.09	4.77	4.77	4.32	4.12
Dividend Yield (%)	26.0%	26.0%	26.0%	26.0%	26.0%

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.40). Strengths: Revenue CAGR 12.5% (3Y); Current ratio 2.01x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: -17.2% revenue growth; Y3 revenue \$679.39B.

Metric	Value	Assessment
FSA Health Score	+0.40	Strong
Revenue CAGR (3Y)	12.5%	
Net Income CAGR (3Y)	30.1%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	2.01x	Liquidity
Debt / Equity	20%	Leverage
ROE	38.9%	Profitability
FCF / Net Income	0.55x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$494.98B / \$679.39B	@17.2%
Proj. Net Income (Y1 / Y3)	\$141.25B / \$193.87B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$374.69	Short-term trend	12m Momentum	+95.0%	
SMA (252d)	\$289.27	Long-term trend	3m Momentum	+23.1%	
RSI (14d)	29.4	Momentum oscillator	Ann. Volatility	31.5%	
Trend	Bullish		Sharpe Ratio	0.60	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-44.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+95.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 29 — oversold zone	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	28.3%	B&H; 31.1%

INDUSTRY CONTEXT

Industry Snapshot — Communication Services / Internet Content & Information. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products and services, including ads, Android,...

Trends: Strong top-line growth (21.8% YoY); High operating leverage (36.1% margin); Above-market volatility (β=1.24)

Risks: Standard sector cyclicality and macro exposure

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$258.06	-23.5%	—	Not in blend
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$306.26	-9.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$364.35	+8.0%	—	Peer median 12.0x
Comps — P/S (peer median)	\$297.46	-11.8%	—	Peer median P/S 4.1x
Comps — Blended (median of multiples + uplift anchors)	\$306.26	-9.2%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$432.83	+28.3%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$306.26	-9.2%	100%	Comps 100%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.80%
Terminal g	4.00%
FCFE growth	10.00%
Base FCFE	\$73.27B
PV explicit (5Y)	\$377.30B
PV terminal	\$1.14T
Equity value (adj.)	\$1.51T
Implied price	\$258.06
vs. current	-23.5%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products...

Key Trends

- Strong top-line growth (21.8% YoY)
- High operating leverage (36.1% margin)
- Above-market volatility (β=1.24)
- Sector: Communication Services | Industry: Internet Content & Information

Risk Factors

- Standard sector cyclicality and macro exposure

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.40T	20.0x	12.8x	32.8%	+33.1%
NFLX	Netflix, Inc.	\$310.80B	23.8x	22.1x	28.5%	+16.2%
DIS	Walt Disney Company (T	\$171.55B	15.8x	11.1x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.31B	N/A	-35.9x	-6.7%	+12.1%
GOOGL*	Alphabet Inc.	\$4.12T	25.7x	25.1x	37.9%	+21.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.